SCHEME OF MERGER BY ABSORPTION

(UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013)

OF

LAVA CAST PRIVATE LIMITED ("LCPL")

(TRANSFEROR COMPANY)

WITH

SETCO AUTOMOTIVE LIMITED ("SAL")

(TRANSFEREE COMPANY)

AND

THEIR RESPECTIVE SHAREHOLDERS

For SETCO AUTOMOTIVE LIMITED

COMPANY SECRETARY

PART I

INTRODUCTION, RATIONALE, DEFINITIONS AND INTERPRETATIONS

1. PREAMBLE

This Scheme of Merger by Absorption ("**Scheme**") is presented pursuant to the provisions under Sections 230-232 read with other applicable provisions of Companies Act, 2013 ("**Act**"), as may be applicable, and also read with Section 2(1B) of and other relevant provisions of the Income Tax Act, 1961.

2. BACKGROUND OF THE COMPANIES

2.1. Lava Cast Private Limited

2.1.1. Lava Cast Private Limited ('**LCPL**' or '**Transferor Company**'), is a private limited company, limited by shares, incorporated on 13th May, 2021 under the provisions of Companies Act, 1956 and is registered with the Registrar of Companies, Ahmedabad with the Corporate Identification Number of LCPL being U27205GJ2011PTC100777. The Transferor Company is primarily engaged in the business of manufacture of basic precious and non-ferrous metals, classified under NIC Code 2720, including casting components for commercial and passenger vehicle segments. The registered office of LCPL is situated at Alindra Village, Vadodara-Godhra Highway, Kalol, Panchmahal, Gujarat – 389330, India. The main objects of the Transferor Company as specified in the Memorandum of Association of the Company *inter alia* include the business of manufacturing Grey and Spheroidal Graphite (SG) Iron casting components, including clutch covers, flywheels, brake discs, other fully-machined automotive components designed for commercial and passenger vehicle applications, and non-automotive for various industries. The Transferor Company is a wholly owned subsidiary of the Transferee Company.

2.2. Setco Automotive Limited

2.2.1. Setco Automotive Limited (**'SAL'** or **'Transferee Company'**), is a public limited company, limited by shares, incorporated on 5th May 1982 under the provisions of Companies Act, 1956 and is registered with the Registrar of Companies, Ahmedabad with the Corporate Identification Number of SAL being L35999GJ1982PLC005203. The equity shares of the Transferee Company are listed on stock exchanges in India viz. BSE (Bombay Stock Exchange) and NSE (National Stock Exchange of India). The Transferee Company is primarily a holding company of the Transferor Company, engaged, by itself and through its subsidiaries, in the business of *inter alia* manufacturing of hydraulics and trading of clutches and other automotive components, including clutch assemblies, brake linings, release bearings, flywheels, universal joint crosses, water pumps, torque rod bushes, and related products for commercial vehicles, farm tractors, and construction equipment. The registered office of SAL is situated at Baroda Godhra Highway, Kalol (Panchmahal), Gujarat – 389330, India. The main objects of the Transferee Company as specified under the relevant heading of the Memorandum of Association of the Company *inter alia* include the business of manufacturing automotive components and transport-related equipment, including clutches, driveline products, and other automotive systems for OEMs and the aftermarket.

3. RATIONALE FOR THE SCHEME

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3.1. Presently, the entire share capital of the Transferor Company is held by the Transferee Company i.e. the Transferor Company is a wholly owned subsidiary of the Transferee Company. As the Transferor Company and the Transferee Company are part of the same group and for various reasons as outlined in this Scheme, it is proposed, *inter-alia*, to amalgamate the Transferor Company into the Transferee Company for consolidation of entities. The proposed merger will result in the following benefits:

(a) Combining business interests into a single entity and achieving a simplified corporate structure;

(b) Reducing the number of entities in the group thereby reducing the managerial overlaps, which are necessarily involved in running multiple entities;

(c) Reduce regulatory and legal compliances/filings including accounting, reporting requirements, statutory and internal audit requirements, tax filings etc. and consequential reduction in administrative costs;

(d) Consolidating the operations of a wholly owned subsidiary into the holding company to augment growth and synergy in the business operations of the Transferee Company and thereby unlocking shareholder value and improve long term growth prospects;

(e) making the group structure simple and reduce the multiple level of business entities leading to better administration and efficient operational efforts.

3.2. In view of the above, management of the Transferor Company and the Transferee Company have decided to make requisite application(s) and/or petition(s) before the appropriate bench of the Hon'ble National Company Law Tribunal ("**Hon'ble NCLT**") under Sections 230 to 232 of the Act and other applicable provisions of the Act, for the sanction of this Scheme.

3.3. The merger of the Transferor Company with the Transferee Company shall be pursuant to and in accordance with this Scheme and shall take place with effect from the Appointed Date (*as hereinafter defined*). The Scheme is in the interest of the shareholders, creditors, employees and other stakeholders of the Transferor Company and the Transferee Company.

3.4. The Scheme will neither impose any additional burden on the shareholders of the Transferor Company nor will it adversely affect the interest of any of the creditors of the Transferor Company and the Transferee Company.

4. OVERVIEW OF THE SCHEME

4.1. This Scheme provides for amalgamation of the Transferor Company into the Transferee Company in accordance with Section 230 to 232 of the Act and the terms and conditions contained in this Scheme.

4.2. This Scheme as set out herein in its present form along with any modifications and/or amendments, as may be approved in accordance with the terms of this Scheme or as may be directed by the Hon'ble NCLT, shall be deemed to be effective from the Appointed Date, and be operative from the Effective Date.

4.3. This Scheme is divided into 4 (four) parts viz:

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(i) **Part I** sets forth the Introduction, Rationale, Definitions and Interpretation and Capital Structure of the Companies;

(ii) **Part II** deals with the merger by absorption of Transferor Company into and with the Transferee Company, in accordance with the provisions of Sections 230 to 232, and other relevant provisions of the Act;

(iii) **Part III** deals with the capital reorganisation of the Transferee Company, subsequent to operation and implementation of Part II;

(iv) **Part IV** deals with various other matters incidental, consequential, or otherwise integrally connected therewith.

5. DEFINITIONS

In this Scheme, unless inconsistent with the subject or context, the following expressions shall have the following meaning:

"Act" or **"the Act"** shall mean the Companies Act, 2013 and the Rules made thereunder, including any statutory modifications, re-enactments or amendments thereof for the time being in force. References in this Scheme to provisions of this Act shall be deemed to mean and include references to particular provisions of the Companies Act, 2013, unless stated otherwise;

"Applicable Law" shall mean any statute, law, regulation, ordinance, rule, judgement, order, decree, by-law, approval from the concerned authority, Governmental Authority, order, directive, guideline, policy, requirement, or other governmental restriction or any similar form of decision of, or determination by, or any interpretation or adjudication having the force of law of any of the foregoing, by any concerned authority having jurisdiction over the matter in question;

"Appointed Date" shall mean 23rd March 2026 or such other date as may be mutually agreed upon by the respective Board of Directors of the Transferee Company and the Transferor Company with the approval of the National Company Law Tribunal, Ahmedabad Bench or such other date as may be fixed by the National Company Law Tribunal, for the purposes of this Scheme and Income Tax Act, 1961;

"Board of Directors" shall mean in relation to the Transferor Company and/or the Transferee Company, as the case may be, and shall, unless it is repugnant to the context or otherwise, include a committee of directors authorized for the matters pertaining to this Scheme or any other matter relating hereto or any person authorized by the Board of directors or such committee of directors;

"**Capital Reserves**" means and includes the reserves of the Transferee Company which have been built primarily through recognition of profit or loss on purchase / sale of the equity instruments in case of merger to capital reserve, pursuant to the provisions of the Act and which forms a part of the reserves of the Transferee Company, as reflected in the books of accounts of the Transferee Company and shall also include the reserve created pursuant to merger under this Scheme;

"Competent Authority" shall mean the Hon'ble National Company Law Tribunal ("**NCLT**") at Ahmedabad or the Hon'ble National Company Law Appellate Tribunal ("**NCLAT**") as constituted and authorized as per the provisions of the Act for approving any scheme of arrangement, compromise or reconstruction of companies under the relevant provisions of the Act;

"Corporate Action" shall mean sub-division, consolidation, or re-organisation or any other type of capital restructuring activities;

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"Clause" and "**sub-Clause"** shall mean the relevant clauses and sub-clauses set out in this Scheme;

"Effective Date" shall mean later of the dates on which the certified true copies of the Orders of Hon'ble NCLT sanctioning this Scheme of Amalgamation (by Absorption) are filed with the Registrar of Companies, Gujarat, Ahmedabad by the Transferor Company and the Transferee Company. References in this Scheme to the word "upon the Scheme becoming effective" or "effectiveness of this Scheme" or upon the "Scheme coming into effect" shall mean the Effective Date;

"Employees" shall mean all the permanent employees of the Transferor Company if any, as on the Effective Date;

"**General Reserve**" means and includes the general reserve of the Transferee Company which have been built primarily through transfer of retained undistributed profits over the years, pursuant to the provisions of this Act read with Companies (Declaration and Payment of Dividend) Rules, 2014 and which forms a part of the revenue reserves of the Transferee Company, as reflected in the books of accounts of the Transferee Company;

"Governmental Authority" shall mean any, national, state, provincial, local or similar governmental, statutory, regulatory, administrative authority, agency, commission, legislative body, departmental or public body or authority, board, branch, tribunal or court or other entity authorized to make laws, rules, regulations, standards, requirements, procedures or to pass directions or orders, in each case having the force of law, or any non-governmental regulatory or administrative authority, body or other organization to the extent that the rules, regulations and standards, requirements, procedures or orders of such authority, body or other organization have the force of law, or any stock exchange of India or any other country including the Registrar of Companies, Competition Commission of India, Reserve Bank of India, Securities and Exchange Board of India, Stock Exchanges, National Company Law Tribunal, and such other sectoral regulators or authorities as may be applicable;

"Income Tax Act" or "**IT Act**" shall mean the Income-tax Act, 1961 or any modifications or re-enactments or amendments thereof from time to time and which shall include any substitution thereof as applicable;

"Registrar of Companies" or **"RoC"** shall mean the Registrar of Companies at Ahmedabad, Gujarat;

"**Retained Earnings**" means line-item classified as retained earnings as presented in the balance sheet of the Transferee Company, which constitute accumulated profits of the Transferee Company, arrived at after providing for depreciation in accordance with the provisions of the Act;

"SEBI" shall mean the Securities and Exchange Board of India established under the Securities and Exchange Board of India Act, 1992;

"Scheme of Merger by Absorption" or "**Scheme of Amalgamation**" or "**Scheme**" shall mean this Scheme of Merger of Absorption among the Transferor Company and the Transferee Company and their respective shareholders pursuant to the provisions of Sections 230-232 read with other relevant provisions of the Companies Act, 2013 as may be applicable in its present form as submitted to the Competent Authority or this Scheme with such modification(s), if any made, as per Clause 15 of this Scheme;

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"**Securities Premium**" means the line-item classified as securities premium as presented in the balance sheet of the Transferee Company, forming part of the reserves and surplus of the Transferee Company;

"Stock Exchanges" means the Bombay Stock Exchange Limited and the National Stock Exchange of India Limited individually and collectively;

"**Taxation**" or "**Tax**" or "**Taxes**" means all forms of taxes (direct or indirect) and statutory, governmental, state, provincial, local governmental or municipal impositions, duties, contributions and levies and whether levied by reference to income, profits, book profits, gains, net wealth, asset values, turnover, added value or otherwise and shall further include payments in respect of or on account of Tax, whether by way of deduction / collection at source, advance tax, minimum alternate tax or otherwise or attributable directly or primarily to the Transferor Company and the Transferee Company and all penalties, charges, costs and interest relating thereto.

6. INTERPRETATION

6.1. All terms and words used but not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act, the Securities Contracts (Regulation) Act, 1956, the Depositories Act, 1996 and other Applicable Law, rules, regulations, bye-laws, as the case may be or any statutory modification or re-enactment thereof for the time being in force;

6.2. References to clauses, recitals and schedules, unless otherwise provided, are to clauses, recitals and schedules of and to this Scheme;

6.3. The headings herein shall not affect the construction of this Scheme;

6.4. Unless the context otherwise requires, reference to any law or to any provision thereof shall include references to (i) any such law or to any provision thereof as it may, after the date hereof, from time to time, be amended, supplemented or re-enacted; (ii) any law or any provision which replaces it, and any reference to a statutory provision shall include any subordinate legislation made from time to time under that provision; (iii) all subordinate legislation made from time to time under that provision (whether or not amended, modified, re-enacted or consolidated); and (iv) all statutory instruments or orders made pursuant to a statutory provision;

6.5. Words in singular shall include the plural and vice versa; and references to one gender include all genders;

6.6. Reference to days, months and years are to calendar days, calendar months and calendar years respectively;

6.7. Any reference to 'writing' shall include printing, typing, lithography and other means of reproducing words in visible form;

6.8. Any phrase introduced by the terms "including", "include", "in particular" or any similar expression shall be construed as illustrative and shall not limit the sense of the words preceding those terms.

6.9. References to a person include any individual, firm, body corporate (whether or not incorporated), government, state or agency of a state or any joint venture, association, partnership, works council or employee representative body (whether or not having a separate legal personality).

7. DATE OF TAKING EFFECT AND OPERATIVE DATE

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7.1. The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the Competent Authority or made as per Clause 15 of the Scheme, shall be effective from the Appointed Date but shall be operative from the Effective Date. Therefore, for all regulatory and tax purposes, upon the Effective Date, with effect from the Appointed Date, the Part II of the Scheme shall have become effective, followed by the Part III of the Scheme and further followed by the Part IV of the Scheme, chronologically but all of the same becoming effective from the Appointed Date of this Scheme.

8. SHARE CAPITAL

8.1. The authorized, issued, subscribed and paid-up share capital of the Transferor Company as on December 31, 2025 is as under:

Particulars	Amount in Indian Rupees
Authorized Share Capital	
13,70,00,000 Equity Shares of INR 10/- each	1,37,00,00,000/-
Total	1,37,00,00,000/-
Issued, Subscribed and Paid-up Share Capital	
13,05,60,000 Equity Shares of INR 10/- each	1,30,56,00,000/-
Total	1,30,56,00,000/-

Subsequent to December 31, 2025 and up to the date of approval of this Scheme by the Board of the Transferor Company, there has been no change in the authorized, issued, subscribed and paid-up share capital of the Transferor Company. Further, as on the date of filing this Scheme, the entire equity share capital of the Transferor Company is held by the Transferee Company (i.e. the Transferor Company is a wholly owned subsidiary of the Transferee Company).

8.1.1. The authorised, issued, subscribed and paid-up share capital of the Transferee Company as on December 31, 2025 is as under:

Particulars	Amount in Indian Rupees
Authorised Share Capital	
25,00,00,000 Equity Shares of INR 2/- each	50,00,00,000/-
Total	50,00,00,000/-
Issued, Subscribed and Paid-up Share Capital	
13,37,67,275 Equity Shares of INR 2/- each	26,75,34,550/-
Total	26,75,34,550/-

Subsequent to December 31, 2025 and up to the date of approval of this Scheme by the Board of the Transferee Company, there has been no change in the authorized, issued, subscribed and paid-up share capital of the Transferee Company.

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PART II – MERGER BY ABSORPTION OF THE TRANSFEROR COMPANY WITH THE TRANSFEREE COMPANY

9. TRANSFER AND VESTING OF THE TRANSFEROR COMPANY INTO THE TRANSFEREE COMPANY

9.1. With effect from the Appointed Date, and upon the Scheme becoming effective, the Transferor Company shall stand transferred to and be vested in the Transferee Company, as a going concern, without any further deed or act, together with all the properties, assets, rights, liabilities, benefits and interest therein as detailed below;

9.2. Subject to the provisions of this Scheme and in relation to the modalities of the Scheme of Merger by Absorption, upon this Scheme coming into effect on the Effective Date, the Transferor Company, together with all its present and future properties, assets, investments, rights, obligations, liabilities, benefits, and interests therein, whether known or unknown, shall merge into and with the Transferee Company. All the present and future properties, assets, liabilities, investments, rights, obligations, liabilities, benefits, and interests of the Transferor Company shall become the property of, and form an integral part of, the Transferee Company, subject to the charges and encumbrances (to the extent they are outstanding on the Effective Date), if any, created by the Transferor Company on its properties and assets in favour of lenders of the Transferor Company. Such vesting shall take place as a going concern, by operation of law pursuant to the vesting order of the Hon'ble NCLT sanctioning this Scheme, without any further act or deed required by either of the entities. In particular, the Transferor Company shall stand merged into and with the Transferee Company, in the manner described in sub-paragraphs (a) to (r).

(a) With effect from the Appointed Date and upon the Scheme becoming effective, all assets and liabilities of whatsoever nature and wheresoever situated shall, under the provisions of Sections 230 to 232 and all other applicable provisions, if any, of the Act, without any further act or deed (save as provided in Sub-clauses (b), (c), (d), and (e) below), be transferred to and vested in and/or be deemed to be transferred to and vested in the Transferee Company as a going concern, so as to become, as from the Appointed Date, the undertaking of the Transferee Company and to vest in the Transferee Company all the rights, title, interest, or obligations therein;

(b) Provided that, for the purpose of giving effect to the vesting order passed under Section 232 in respect of this Scheme, the Transferee Company shall be entitled to get effected the change in the title and the appurtenant legal right(s) upon the vesting of such properties in accordance with the provisions of the Act, at the office of the respective concerned authority where any such property is situated;

(c) **Mutation of Immovable Properties**
The mutation of the ownership or title or interest in the immovable properties, if any, in favor of the Transferee Company shall be made and duly recorded by the appropriate authorities as per the Applicable Law pursuant to the sanction of this Scheme and it becoming effective in accordance with the terms thereof;

(d) **Transfer of Movable Assets**
All the movable assets capable of passing by manual delivery or constructive delivery or by endorsement and delivery shall be so delivered or endorsed and delivered, as the case may be, to the Transferee Company, to the end and intent that the ownership and property therein

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pass to the Transferee Company on such handing over, in pursuance of the provisions of Section 232 of the Act (as an integral part of the Undertaking).The plant and machinery, if any, which are fastened to land and/or buildings shall continue to remain movable properties, inter alia because the said plant and machinery are fastened to land only with a view to have better enjoyment of the movable properties;

(e) In respect of all movables, other than those specified in sub-clauses (c) and (d) above, including trade receivables, outstanding loans and advances, if any, recoverable in cash or in kind or for value to be received, bank balances and deposits, if any, with Government Authority, customers, and other persons, the same shall, without any further act, instrument, or deed, be transferred to and stand vested in and/or be deemed to be transferred to and stand vested in the Transferee Company under the provisions of the Act;

(f) **Execution of Supplementary or Novation Deed**
In relation to the assets, properties, and rights, including rights arising from contracts, deeds, instruments, and agreements, if any, which require separate documents of transfer, including documents for attornment or endorsement, as the case may be, the Transferee Company will execute the necessary documents of transfer, including documents for attornment or endorsement, as the case may be, as and when required, or will enter into a novation agreement;

(g) **Transfer of Liabilities and Obligations**
All debts, guarantees, liabilities (including deferred tax liability), indemnities, and obligations of every kind, duties, nature, and description, whether or not provided for in the books of accounts and whether disclosed or undisclosed in the balance sheet, shall also, under the provisions of the Act, without any further act or deed, be transferred to or be deemed to be transferred to the Transferee Company on the same terms and conditions, as applicable, so as to become, as from the Appointed Date, the debts, liabilities, duties, guarantees, indemnities, and obligations of the Transferee Company. It shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such debts, liabilities, duties, guarantees, indemnities, and obligations have arisen, in order to give effect to the provisions of this sub-clause;

(h) However, the Transferee Company may, at any time after the coming into effect of this Scheme in accordance hereof, if so required, under any law or otherwise, execute deeds of confirmation in favour of the creditors or lenders, as the case may be, or in favour of any other party to the contract or arrangement to which the Transferor Company is a party, or any writing as may be necessary, in order to give formal effect to the provisions mentioned herein. The Transferee Company shall, under the provisions of this Scheme, be deemed to be authorized to execute any such writings on behalf of the Transferor Company as well as to implement and carry out all such formalities and compliances referred to above;

(i) **Treatment of Existing Security Interests**
Provided however, that any reference in any security documents or arrangements (to which the Transferor Company is a party) pertaining to the assets of the Transferor Company offered or agreed to be offered as security for any financial assistance or obligations shall be construed as reference only to such assets as are offered or agreed to be offered as security, pertaining to the Transferor Company and as are vested in the Transferee Company by virtue of the aforesaid clauses, to the end and intent that such security, charge, and mortgage shall not extend or be deemed to extend to any of the other assets of the Transferor Company or any of the assets of the Transferee Company. Further, the filing of the certified copy of the order of the Hon'ble NCLT sanctioning this Scheme with the relevant Registrar of Companies, Gujarat, shall be deemed to be sufficient for creating or modifying the charges in favour of the

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secured creditors, if any, of the Transferor Company, as required as per the provisions of this Scheme;

(j) **Transfer of Tax Credits and Benefits**
All existing and future incentives, unavailed credits and exemptions, benefits of carried forward losses, refunds available, and other statutory benefits, including in respect of income tax (including tax deducted at source, advance tax, and MAT Credit), excise (including MODVAT/CENVAT), customs, VAT, sales tax, service tax (including input credit), GST, IGST, CGST (including input tax credit), etc., which the Transferor Company is entitled to in accordance with Applicable Law, shall be available to and vest in the Transferee Company;

(k) **Continuation of Incentives and Subsidies**
In so far as the various incentives, subsidies, special status, and other benefits or privileges (including minimum alternate tax, sales tax, excise duty, custom duty, service tax, value added tax, GST, IGST, CGST, and other incentives) granted by any Governmental Authority or by any other person and availed of by the Transferor Company, the same shall vest with and be available to the Transferee Company on the same terms and conditions as presently available to the Transferor Company;

(l) **Operation of Bank Accounts**
Upon the coming into effect of this Scheme, and until such time that the names of the bank accounts of the Transferor Company is replaced with that of the Transferee Company, the Transferee Company shall be entitled to operate the bank accounts of the Transferor Company, in its respective names, in so far as may be necessary;

(m) **Transfer of Intellectual Property Rights and Other Rights**
With effect from the Appointed Date, all permits, quotas, rights, entitlements, tenancies, and licenses relating to brands, trademarks, patents, copyrights, privileges, powers, and facilities of every kind and description whatsoever, in relation to the undertakings of the Transferor Company and which are subsisting or having effect immediately before the Appointed Date, shall be and remain in full force and effect in favour of the Transferee Company and may be enforced fully and effectually as if, instead of the Transferor Company, the Transferee Company had been the beneficiary or obligee thereto;

(n) **Execution of Deeds and Formalities**
Upon the coming into effect of this Scheme and subject to the other provisions of this Scheme, the Transferee Company may enter into and/or issue and/or execute deeds, writings or confirmations or enter into any tripartite arrangements, confirmations or novations, to which the Transferor Company will, if necessary, also be a party, in order to give formal effect to the provisions of this Scheme, if so required or if so considered necessary. The Transferee Company shall be deemed to be authorized to execute any such deeds, writings or confirmations on behalf of the Transferor Company and to implement or carry out all formalities required on the part of the Transferor Company to give effect to the provisions of this Scheme;

(o) **Transfer of Statutory Licenses and Approvals**
With effect from the Appointed Date, all statutory licenses, permissions, approvals, and/or consents held by the Transferor Company, as required to carry on its operations, shall stand vested in or transferred to the Transferee Company without any further act or deed. Such licenses, permissions, approvals, and/or consents shall be appropriately mutated by the statutory authorities or any other person concerned in favour of the Transferee Company. The benefits of all statutory and regulatory permissions, licenses, environmental approvals, and

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consents, including those required to carry on the operations of the Transferor Company, shall vest in and become available to the Transferee Company upon the Scheme coming into effect;

(p) **Transfer of Goodwill and other Registrations**
Any and all registrations, goodwill, licenses appertaining to the Transferor Company shall stand transferred to and vested in the Transferee Company; and

(q) **Continuation of Legal Proceedings**
All pending suits, appeals, or other legal, quasi-legal, or administrative proceedings of whatsoever nature by or against the Transferor Company shall not abate, be discontinued, or in any way be prejudicially affected by reason of the amalgamation of the Transferor Company or by anything contained in this Scheme. Such proceedings shall continue and be enforced by or against the Transferee Company in the same manner and to the same extent as they would have been continued, prosecuted, and/or enforced by or against the Transferor Company, as if this Scheme had not been made. The Transferee Company shall, as necessary, file appropriate applications or petitions for transfer, substitution, or continuation of all such pending suits, appeals, or other proceedings in its own name;

(r) **Transfer of Employees**
All employees of the Transferor Company who are on its payroll as on the Effective Date shall become employees of the Transferee Company, on terms and conditions not less favourable than those applicable to them with the Transferor Company, without any break or interruption in service as a result of this amalgamation and transfer. With respect to provident fund, gratuity, leave encashment, and any other fund, scheme, or benefit existing for the benefit of the employees of the Transferor Company, upon this Scheme becoming effective, the Transferee Company shall stand substituted in place of the Transferor Company for all purposes, in accordance with applicable laws and the provisions of this Scheme. It is hereby clarified that upon the Scheme coming into effect, all such benefits, schemes, and entitlements shall continue without alteration, and the services of the transferred employees shall be treated as continuous for all purposes. In so far as the fund or funds created or existing for the benefit of the employees of the Transferor Company are concerned, upon the coming into effect of this Scheme, balances lying in the accounts of the employees of the Transferor Company in the fund or funds as on the Effective Date shall stand transferred from the respective fund or funds of the Transferor Company to the corresponding fund or funds set up by the Transferee Company.

9.3. **Saving of Concluded Transactions**

The transfer of assets, liabilities and business to, and the continuance of proceedings by or against, the Transferee Company as envisaged in this Part II shall not affect any transactions or proceedings already concluded by the Transferor Company on or before the Appointed Date and after the Appointed Date till the Effective Date, to the end and intent that the Transferee Company accepts and adopts all acts, deeds and things done and executed by the Transferor Company in respect thereto as done and executed on behalf of itself.

9.4. **Procedural formalities post sanction of the Scheme**

(a) The Transferee Company shall, at any time after the coming into effect of this Scheme, if so required under any law or otherwise, execute deeds of confirmation, novation or other writings or arrangements with any party to any contract or arrangement to which the Transferor Company has been a party, in order to give formal effect to the provisions of this Scheme. The Transferee Company shall, under the provisions of this Scheme, be deemed to be authorized to execute such writings on behalf of the Transferor Company and to carry

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out or perform all such formalities or compliances as may be required on the part of the Transferor Company.

(b) Upon this Scheme becoming effective, for statistical and record purposes only, and without any separate deed, instrument or writing, the Transferor Company and/or the Transferee Company shall, if required, simultaneously with the amendment in the register of charges, file particulars of the modified charge with the Registrar of Companies. Any documentation subsequently entered into with the term lenders or working capital lenders of the Transferor Company or the Transferee Company shall be for the sake of convenience and record only, to reflect the change in security pursuant to this Scheme. There shall be no break in the continuity of such charge, and the same shall relate back to the date of its original creation by the Transferor Company.

(c) Upon this Scheme becoming effective, all permissions, licenses, approvals, consents, privileges, benefits, and benefits of filings, and all other incorporeal rights emanating from such licenses, whether statutory, regulatory or otherwise, relating to the Transferor Company, shall stand transferred to and vested in the Transferee Company without any further act, instrument or deed, as more particularly provided hereinabove. Notwithstanding such transfer or vesting of the aforesaid licenses, if any application is required for the statistical record of the statutory authorities to implement the transfer and vesting of such licenses, the Transferee Company shall facilitate such statutory authorities by filing the necessary applications, which shall be granted or approved in favour of the Transferee Company based on the sanction order of this Scheme by the Hon'ble NCLT.

(d) Upon this Scheme becoming effective, the Transferee Company shall be expressly entitled to revise its tax returns and related withholding certificates, and to claim any tax refunds or tax credits pertaining to the Transferor Company, if any. The Transferee Company shall also be entitled to revise its financial statements and returns, along with prescribed forms, filings, and annexures under the Income Tax Act, 1961 (including for minimum alternate tax purposes and other tax benefits), service tax laws, Goods and Services Tax laws, and other applicable tax laws, to claim refunds and/or credits for taxes paid (including minimum alternate tax), tax benefits, and related withholding certificates, and to carry out all actions incidental thereto, as may be required to give effect to the provisions of this Scheme.

9.5. **Tax**

(a) Any tax liabilities under the Income Tax Act, 1961 or other applicable laws/regulations dealing with taxes, duties, or levies allocable or related to the business of the Transferor Company, to the extent not provided for or covered by tax provision in the accounts made as on the date immediately preceding the Appointed Date, shall be transferred to the Transferee Company.

(b) Any surplus in the provision for taxation, duties, or levies account, including but not limited to advance tax, tax deducted at source by customers, minimum alternate tax credit, central value added tax credit, and goods and services tax credit as on the date immediately preceding the Appointed Date, shall also be transferred to the Transferee Company. Any refund under the Income Tax Act, 1961 or other applicable laws/regulations dealing with taxes, duties, or levies allocable or related to the business of the Transferor Company or due to the Transferor Company, consequent to assessments made in respect of the Transferor Company, for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date, shall also belong to and be received by the Transferee Company.

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(c) The tax payments (including, without limitation, income tax, tax on distribution of dividends, service tax, excise duty, central sales tax, goods and services tax, applicable state value added tax, or any other taxes as may be applicable from time to time), whether by way of tax deducted at source by customers, advance tax, or otherwise, made by the Transferor Company after the Appointed Date, shall be deemed to have been paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly. Notwithstanding the above, any tax deducted at source by either the Transferor Company or the Transferee Company on account of inter-company transactions between the Transferee Company and the Transferor Company post the Appointed Date shall be deemed to be advance tax paid by the Transferee Company and shall, in all proceedings, be dealt with accordingly.

(d) All tax assessment proceedings and appeals of whatsoever nature by or against the Transferor Company, pending and/or arising as on the Appointed Date and relating to the Transferor Company, shall be continued and/or enforced until the Effective Date as desired by the Transferee Company. As from the Effective Date, such tax proceedings or appeals shall be continued and enforced by or against the Transferee Company (for and on behalf of the Transferor Company) in the same manner and to the same extent as they would or might have been continued and enforced by or against the Transferor Company. Further, the aforementioned proceedings shall not abate, be discontinued, or be in any way prejudicially affected by reason of the amalgamation of the Transferor Company with the Transferee Company or by anything contained in this Scheme.

(e) Upon the Scheme coming into effect, any obligation for deduction of tax at source on any payment made by or to be made by Transferor Company shall be made or deemed to have been made and duly complied with by the Transferee Company.

9.6. **Conduct of Business**

(a) With effect from the Appointed Date and until occurrence of the Effective Date, (i) the Transferor Company shall be deemed to have been carrying on, and shall continue to carry on, its business and activities, and shall be deemed to have held and stood possessed of, and shall hold and stand possessed of, all its properties and assets for and on account of, and in trust for, the Transferee Company; (ii) The Transferor Company hereby undertakes to hold its assets with utmost prudence until the Effective Date.

(b) All the profits or income accruing or arising to the Transferor Company, or expenditure or losses arising, incurred or suffered by it, with effect from the Appointed Date, shall, for all purposes, be treated and deemed to be the profits, income, expenditure or losses, as the case may be, of the Transferee Company, respectively, unless otherwise provided in this Scheme.

(c) With effect from the Effective Date, the Transferee Company shall commence and carry on and shall be authorized to carry on the business of the Transferor Company.

(d) Upon this Scheme becoming effective, the Transferor Company shall stand dissolved without being wound up, without requiring any further action under Applicable Law.

(e) To give effect to the order that may be passed on application of the entities under Sections 230 to 232 and other applicable provisions of the Act in respect of the Scheme by Hon'ble NCLT, the Transferee Company shall, at any time pursuant to the approval of the Scheme by the Hon'ble NCLT, be entitled to get the recordal of the change in the legal right(s) upon the merger of the Transferor Company, in accordance with the provisions of Sections 230 to 232 of the Act.

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10. CONSIDERATION

As the Transferor Company is a wholly owned subsidiary of the Transferee Company and the entire share capital of the Transferor Company is held by the Transferee Company, no consideration shall be payable, and the shares held by the Transferee Company in the Transferor Company shall stand cancelled without any further act, application or deed.

11. ACCOUNTING TREATMENT

11.1. Upon the Scheme becoming effective, and with effect from Appointed Date, the Transferee Company shall account for the amalgamation or merger of the Transferor Company in its books of accounts in accordance with Appendix-C of Ind-AS 103 (Business Combinations of entities under common control) and other Indian Accounting Standards, as applicable, and notified under Section 133 of the Act read with relevant rules, as may be amended from time to time, in its books of accounts such that:

(a) The Transferee Company shall, upon the Scheme coming into effect record the assets and liabilities, if any, of the Transferor Company vested in it pursuant to this Scheme, at the respective book value thereof and in the same form as appearing in the financial statements of the Transferee Company.

(b) Pursuant to the merger of the Transferor Company with the Transferee Company, the inter-company balances between the Transferee Company and the Transferor Company, if any appearing in the books of the Transferee Company shall stand cancelled and there shall be no further obligations in that behalf.

(c) Pursuant to the merger of the Transferor Company to the Transferee Company, any amounts receivable by Transferee Company from the Transferor Company on account of borrowings (either through issue of instrument such as non-convertible debentures or otherwise) due to be repaid by the Transferor Company to the Transferee Company, shall stand set-off as per the book value recorded in the books of the Transferor Company and the Transferee Company respectively. The difference, if any, between the amount recorded as share capital issued plus additional consideration, if any, and the amount of share capital of the Transferor Company shall be transferred to the Capital Reserves of the Transferee Company and should be recorded separately from other capital reserves of the Transferee Company with disclosure of its nature and purpose in the note.

(d) The value of all investments held by the Transferee Company in the Transferor Company shall stand cancelled pursuant to the merger.

11.2. In case of any difference in accounting policy between the Transferor Company and the Transferee Company, the accounting policy followed by the Transferee Company will prevail and the difference, if any, after revision / settlement of accounts of the Transferor Company in accordance with accounting policy of the Transferee Company, shall be quantified and adjusted in the reserves of the Transferee Company.

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12. CAPITAL REORGANISATION OF THE TRANSFEREE COMPANY AND RELATED ACCOUNTING TREATMENT

Immediately after Part II of this Scheme becoming effective and with effect from the Appointed Date:

12.1. The debit balance in the Retained Earnings of the Transferee Company (after giving the effect of the accounting treatment as per Clause 11 of Part II of this Scheme) would be offset against Capital Reserves, Securities Premium, and General Reserves (to the extent available) of the Transferee Company (after giving the effect of the accounting treatment as per Clause 11 of Part II of this Scheme) in such order as the Board of Directors may deem fit.

12.2. After offsetting the debit balance in the Retained Earnings of the Transferee Company as Clause 12.1 above, the entire balance amount standing to the credit of the Capital Reserves, Securities Premium, and General Reserves (if any), shall be reclassified and credited to Retained Earnings of the Transferee Company.

12.3. Such amounts credited to the Retained Earnings of the Transferee Company in accordance with Clause 12.2 above, shall be reclassified as and constitute accumulated profits or losses (as applicable) of the Transferee Company.

12.4. The reduction of the Capital Reserves, Securities Premium, and General Reserves shall be in accordance with the provisions of Sections 230 to 232 read with Section 52 of the Act, as the same does not involve either diminution of liability in respect of unpaid share capital of the Transferee Company or payment to any shareholder of any paid up share capital of the Transferee Company and order that may be passed the Hon'ble NCLT sanctioning the Scheme shall be deemed to be an order under Section 66 of the Act confirming such reduction of share capital of the Transferee Company.

12.5. Pursuant to the Scheme, there is no outflow of/ payout of funds from the Transferee Company and hence, the interest of the shareholders/creditors is not adversely affected. For the removal of doubt, it is expressly recorded and clarified that the transfer of amounts standing to the credit of the Capital Reserves, Securities Premium, and General Reserves, shall be in accordance with the accounting standards prescribed under provisions of Section 133 of the Act.

12.6. Consequent to the above, upon Part III of the Scheme becoming effective and with effect from Appointed Date, the entire amount standing to the credit of the Capital Reserves, Securities Premium, and General Reserves of the Transferee Company shall be reclassified and credited to the Retained Earnings of the Transferee Company in its books.

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13. GENERAL/RESIDUARY TERMS AND CONDITIONS

13.1. **Conditionality of the Scheme:** This Scheme is and shall be conditional upon and subject to:

(a) The approval by the requisite majorities in number and value of the classes of persons, including shareholders, creditors of the Transferor Company and the Transferee Company as may be directed by the Hon'ble NCLT under Sections 230 to 232 of the Act and applicable rules and regulations framed thereunder;

(b) The sanctioning of this Scheme by the Hon'ble NCLT, whether or not with any modifications or amendments as Hon'ble NCLT may deem fit or otherwise;

(c) The filing of the certified copies of the orders of the Hon'ble NCLT with the RoC, by the Transferor Company and the Transferee Company, as the case may be;

(d) Compliance with such other conditions as may be imposed by Hon'ble NCLT; and

(e) The requisite consent, approval or permission of the Central Government or any Governmental Authority including Stock Exchanges, which may by law be necessary for the implementation of this Scheme.

14. APPLICATION TO NCLT

14.1. The Transferor Company and the Transferee Company shall, with all reasonable dispatch, make necessary applications to the Hon'ble NCLT where the respective registered offices of the Transferor Company and the Transferee Company are situated, for convening and/or seeking exemption to convene meetings of shareholders/creditors and for sanctioning this Scheme under Sections 230 to 232 of the Act, for an order thereof, for carrying this Scheme into effect, and for dissolution of the Transferor Company without winding up.

14.2. The Transferee Company shall be entitled, pending the sanction of the Scheme, to apply to any Governmental Authority, if required under any law, for such approvals which the Transferee Company may require to own the undertaking of the Transferor Company and to carry on the business of the Transferor Company.

15. MODIFICATIONS TO THE SCHEME

15.1. The Transferor Company and the Transferee Company (acting through their respective Boards of Directors) may assent to any modifications or amendments to this Scheme, which the Hon'ble NCLT and/or any other authorities may deem fit to direct or impose, or which may otherwise be considered necessary or desirable for settling any question or doubt or difficulty that may arise for implementing and/or carrying out this Scheme. The Transferor Company and the Transferee Company (acting through their respective Boards of Directors) be and are hereby authorized to take such steps and do all acts, deeds and things as may be necessary, desirable or proper to give effect to this Scheme and to resolve any doubts, difficulties or questions, whether by reason of any order of the Hon'ble NCLT or of any directive or order of any other authorities or otherwise howsoever arising out of, under or by virtue of this Scheme and/or any matters concerning or connected therewith.

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15.2. The Board of Directors of the Transferor Company and the Transferee Company shall be entitled, in a mutually agreeable manner, to revoke, cancel and declare the Scheme of no effect if they are of the view that the coming into effect of the Scheme could have adverse implications on the Transferor Company and/or the Transferee Company.

15.3. In the event of any of the conditions that may be imposed by the Hon'ble NCLT or other authorities which the Transferor Company and/or the Transferee Company may find unacceptable for any reason, then the Transferor Company and/or the Transferee Company (acting through their respective Boards of Directors) are at liberty to withdraw the Scheme in accordance with the procedures prescribed to do so.

15.4. If any issue arises as to whether any asset or liability pertains to the Transferor Company and/or the Transferee Company under this Scheme, the same shall be decided by the Board of Directors of the Transferor Company and/or the Transferee Company, as relevant, on the basis of the relevant books of account and such other evidence as they may deem appropriate for the said purpose.

16. DISSOLUTION OF THE TRANSFEROR COMPANY

16.1. On the Scheme becoming effective, the Transferor Company shall stand being dissolved without being wound up without any further act by the parties.

16.2. On and with effect from the Effective Date, the name of the Transferor Company shall be struck-off from the records of the RoC.

16.3. Any obligations/steps which need to be undertaken by the Transferor Company pursuant to the sanction of this Scheme shall be fulfilled by the Transferee Company.

17. EFFECT OF NON-RECEIPT OF APPROVALS

17.1. In the event that the Scheme is not sanctioned by the Hon'ble NCLT, or in the event any of the consents, approvals, permissions, resolutions, agreements, sanctions or conditions enumerated in the Scheme are not obtained or complied with, or for any other reason the Scheme cannot be implemented, the Scheme shall become null and void. The Transferee Company shall bear the costs, charges and expenses in connection with the Scheme.

17.2. The non-receipt of any sanctions or approvals for a particular asset or liability forming part of the Transferor Company getting transferred pursuant to this Scheme shall not affect the effectiveness of the respective section of the Scheme, if the Boards of Directors of the Transferor Company and the Transferee Company so decide. The transfer of such assets or liability shall become effective from the Appointed Date as and when the requisite approvals are received, and the provisions of the Scheme shall apply appropriately to such transfer.

18. REVOCATION OF SCHEME

In the event of any of the said sanctions and approvals referred to in Clause 17 above not being obtained and/or complied with and/or satisfied and/or this Scheme not being sanctioned by the Hon'ble NCLT and/or order or orders not being passed on or before such other date as may be mutually agreed upon by the respective Board of Directors of the Transferor Company and the Transferee Company, who are hereby empowered and authorized to agree to and extend the aforesaid period from time to time without any limitations in exercise of their powers through and by their respective delegate(s), this Scheme shall stand revoked, cancelled and be of no effect.

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19. SEVERABILITY

If any part of this Scheme is invalid, ruled illegal by any Hon'ble NCLT of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the Transferor Company and the Transferee Company that such part shall be severable from the remainder of the Scheme, and the Scheme shall not be affected thereby, unless the deletion of such part shall cause this Scheme to become materially adverse to the Transferor Company and/or the Transferee Company. In such case, the Transferor Company and the Transferee Company shall attempt to bring about a modification in the Scheme, as will best preserve for the Transferor Company and the Transferee Company the benefits and obligations of the Scheme, including but not limited to such part.

20. VALIDITY OF EXISTING RESOLUTIONS

Upon the coming into effect of this Scheme, the resolutions, if any, of the Transferor Company, which are valid and subsisting on the Effective Date, shall continue to be valid and subsisting and be considered as resolutions of the Transferee Company. If any such resolutions have any monetary limits approved under the provisions of the Act or any other applicable statutory provisions, then the said limits shall be added to the limits, if any, under like resolutions passed by the Transferee Company and shall constitute the aggregate of the said limits in the Transferee Company.

21. COSTS, CHARGES AND EXPENSES

All costs, charges, taxes (including stamp duty, if any), levies and all other expenses, if any (save as expressly otherwise agreed), in relation to or in connection with or incidental to this Scheme and its implementation, including but not limited to expenditure relating to registration and stamping of orders passed by NCLT, obtaining regulatory approvals, revocation or withdrawal of the Scheme (if undertaken by the companies) will be borne by the Transferee Company.

22. REMOVAL OF DIFFICULTIES

Unless repugnant to the context of all that has been stated hereinabove or to the Rationale of this Scheme, the Transferee company shall be empowered to any acts or deeds with respect to such incidental, consequential and supplemental matters as are deemed necessary to secure effective implementation of this Scheme.

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